

Category	Expenditure
Investments – (≥ 7 years to event)	Retirement, Long term goals – eg. child's college etc.
Savings (<5 years to goal)	Recurring expenses: Vacations, birthdays, Diwali etc. Short term big expenses: buying a car, wedding, down payment for a home
Fixed Costs - Monthly	Rent, utilities, cellular service, internet, petrol, EMI – home, TV Bills etc.
Guilt free spend	Clothes, shoes, weekend trips, eating outside, anything bought at a whim

Tweaking your CSP

Considering, we've had a basic rundown of the 4 envelopes, let's play around with them.

As you read through the 4-part CSP system, the first step anyone will take is to look at the current financial situation. We'll pick up the credit card statements to understand where all the money is going. There will be a head-scratch followed by a hard-ask over why you never have enough by month-end. Then you'll make it a point to stop spending on random things and get things sorted. You'll aim for a sharp improvement from a previous total of 5% savings to a new, remarkable '*20% investment and 15% savings*'. And sometimes you'd be able to hold it together for a couple of months. But like any fad diet that brings your weight down for a small period and balloons soon after, your lazy money habits creep in slowly.

That's why it's important to move in small increments toward better money management. A few of my friends say, "*I'm going to stop eating biryani – putting on too much weight here.*" When they make half-serious statements like this, they maintain it for 2 months and give in to normalcy later.

It would have been better if he reduced it to 50% first (once in 2 weeks instead of weekly), and then proceeded to cut it down to once in 4 weeks. That would have been a sustainable habit instead of the *hell or high water* approach.